

OLYMPIA CAPITAL HOLDINGS LIMITED
ANNUAL REPORT AND
CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED 28 FEBRUARY 2021

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Board of Directors	Karen Enterprises Limited - Chairman (Alt Dr. Christopher Obura) Mrs. Gladys Kamau – Ag. Chief Executive Officer – appointed March 2020 Mr Michael Matu – Chief Executive Officer – retired on March 2020 Mr. Alex Kimani - Executive Director Mr Kibuga Kinyua Kariithi - Non Executive Director
Registered office	Olympia Capital Holdings Limited Avon House, 2 nd Floor Enterprise road Industrial Area P.O. Box 30102-00100 Nairobi, Kenya
Principal place of business	Olympia Capital Holdings Limited Avon House, 2nd Floor Enterprise road P.O. Box 30102 – 00100 Nairobi, Kenya
Principal Bankers	NCBA Bank Limited NCBA House Branch P.O. Box 44599 – 00100 Nairobi, Kenya Guaranty Trust Bank (Kenya) Limited Industrial Area Branch P.O. Box 18647 – 00100 Nairobi, Kenya
Company Secretary	Dennis Aroka Equatorial Secretaries and Registrars Kalamu House, Grevillea Grove P.O. Box 14077 -00800 Nairobi, Kenya
Company Registrar	C&R Group IKM Place Tower B 1st Floor, 5th Ngong Avenue, Off Bishops road P.O. Box 8484 – 00100 Nairobi, Kenya

Independent Auditor

Parker Randall Eastern Africa
Certified Public Accountants
Block 2(A), Galleria Business Park
P.O. Box 25426 – 00100
Nairobi, Kenya.

Subsidiaries

Avon Rubber Company (Kenya) Limited
2nd Floor, Avon House
Enterprise Road, Industrial Area
P.O. Box 18270 – 00500
Nairobi, Kenya.

Mather and Platt (Kenya) Limited
Addis Ababa Road
Industrial Area
P.O. Box 30145 – 00100
Nairobi, Kenya.

Olympia Capital Corporation Limited
Plot 51, 52 & 53 Mogoditshane
P.O. Box 2166
Gaborone, Botswana.

Corporate governance deals with the way companies are led and managed, the role of the Board of Directors and a framework of internal controls. The Board of Olympia Capital Holdings Limited is committed to upholding high standards of Corporate Governance. The Board is accountable to the company's shareholders for good governance and the statement set out below illustrates how the principles identified in the Capital Markets Act – Corporate Governance Guidelines, are applied by the group.

BOARD OF DIRECTORS

Composition of the Board is set out on page 1.

The Board consists of the Chairman, Dr. Christopher Obura, Ag. Chief Executive Officer, Mrs. Gladys Kamau (from March 2020), Chief Executive Officer, Mr Michael Matu (to March 2020), Executive Director, Mr. Alex Kimani and Non-Executive Director, Mr Kibuga Kariithi. All non-executive directors are independent of the management. All directors are subject to periodic retirement and re-appointment in accordance with the company's Articles of Association.

All the directors have access to the Company Secretary who is responsible for ensuring that Board Procedures are followed and that applicable laws and regulations are complied with. The directors' responsibilities are set out in the Statement of Directors' Responsibilities on page 7.

The board is of the opinion that there is a balance between independent executive and non-executive directors as required by clause 2.1.4 of the Guidelines on Corporate Governance Practices for Public Listed Companies in Kenya.

The Board meets regularly, at least four times a year, and has a formal schedule of matters reserved for it. The directors receive appropriate and timely information so that they can maintain full and effective control over strategic, financial operational, compliance and governance issues.

The Board has continued to adopt the best governance practices outlined in the Capital Markets Act – Corporate Governance Guidelines as part of its obligation. The Board members have wide range of skills and experience and each member brings an independent judgment and considerable knowledge to the Board discussions that ensures effective decision making. The Board is responsible for the long-term growth and profitability of the Olympia Group. The responsibilities of the Board members are outlined in the Board Charter. The Board is also assisted in the discharge of its responsibilities by the various Sub Committees.

DELEGATION OF AUTHORITY

BOARD SUB COMMITTEES

The Board has three Sub Committees with specific delegated authorities. These are Board Audit Committee, Board Investment Committee, and Board Staff Nominations and Remuneration Committee. The Board Sub Committees assist the Board in discharging its responsibilities. These Sub Committees have clear defined roles and terms of reference and charters that have been approved by the Board. The Committees are chaired by non-executive directors.

BOARD AUDIT COMMITTEE

The committee acts as the liaison between the External Auditor, the Board and the Management. The committee strengthens the objectivity and independence of the auditor and acts on behalf of the Board in carrying out its responsibilities to the members and shareholders.

BOARD INVESTMENT COMMITTEE

The main responsibilities of this committee are to set limits for Management in capital expenditure, review the budgets, review the companies' procurement and disposal policies and make recommendations on all new investments proposals.

BOARD STAFF NOMINATIONS AND REMUNERATION COMMITTEE

The main responsibilities of this committee are to recommend to the Board on the recruitment, termination, promotion and other significant issues related to executive directors and general managers, review the adequacy of human resources policies and to monitor disputes and appeal procedures in the company.

GOING CONCERN

The Board confirms that it is satisfied that the company has adequate resources to continue in business for the foreseeable future. For this reason, the company continues to adopt the going concern basis when preparing the financial statements.

COMMUNICATION WITH SHAREHOLDERS

The company is committed to equitable treatment of its shareholders including the non-controlling and foreign shareholders and ensures that all its shareholders receive full and timely information about its performance through distribution of the annual report and financial statements and half year interim financial report and through compliance with the relevant continuing obligations under the Capital Markets Authority Act. The company's results are advertised in the press and released to the Nairobi Securities Exchange within the prescribed period at each half-year and year end.

MAJOR SHAREHOLDERS

<u>Name</u>	<u>Shares</u>	<u>Percentage (%) S/holding</u>
Dunlop Properties Limited	10,481,802	26.20%
Paul Wanderi Ndungu	4,796,600	11.99%
Karen Enterprises Limited	3,636,152	9.09%
First Ten Limited	2,359,936	5.90%
Asteria Company Limited	1,065,800	2.66%
Joel Kamau Kibe	949,500	2.37%
Scottlink Limited	885,269	2.21%
Michael Maina Matu	786,277	1.97%
Eliud Matu Wamae	619,088	1.55%
Mobicom Kenya Limited	449,600	1.12%
Croxley Properties Ltd A/c 693448	400,000	1.00%
Others	13,569,976	33.94%
Total	<u>40,000,000</u>	<u>100%</u>

DIRECTORS' SHAREHOLDINGS

<u>Name</u>	<u>Shares</u>	<u>Percentage (%) Shareholding</u>
Karen Enterprises Limited	3,636,152	9.09%
Michael Maina Matu	786,277	1.97%
Total directors' shareholding	<u>4,422,429</u>	<u>11.06%</u>

DISTRIBUTION OF SHAREHOLDERS

<u>Volume</u>	<u>No. of shares held</u>	<u>Percentage (%)</u>	<u>Shareholders</u>
1 – 500	330,469	0.83%	1,471
501 - 5,000	2,446,337	6.12%	1,323
5,001 - 10,000	1,437,654	3.59%	186
10,001 - 100,000	5,575,945	13.94%	210
100,001 - 1,000,000	7,869,305	19.67%	25
1,000,001 +	22,340,290	55.85%	5
Total	<u>40,000,000</u>	<u>100.00%</u>	<u>3,220</u>

The directors submit their report and the audited consolidated financial statements for the year ended 28 February 2021 which show the state of the company and group affairs.

1. PRINCIPAL ACTIVITY

Olympia Capital Holdings Limited is an investment holding company listed in the Nairobi Securities Exchange. Its main investments are in companies dealing in the manufacture and sale of products used in construction industry such as floor tiles, adhesives, u-PVC, windows and door frames, cleaning chemicals as well as fire prevention equipment, water pumps and real estate.

2. RESULTS

The results for the year are as set out on page 12.

3. DIVIDEND

The directors do not recommend payment of a dividend in respect of the year ended 28 February 2021 (2020: None).

4. DIRECTORS

The directors who served during the year and to the date of this report are as shown on page 1.

5. DISCLOSURE TO THE COMPANY'S AUDITOR

With respect to each director at the time this report was approved:

- a. There is, so far as the Director is aware, no relevant audit information of which the Group's and Company's auditor is unaware; and
- b. The Director has taken all steps that the Director ought to have taken as a Director to be aware of any relevant audit information and to establish that the Group's and Company's auditor is aware of that information

6. TERMS OF APPOINTMENT OF THE AUDITOR

Parker Randall Eastern Africa continues in office in accordance with the company's Articles of Association and Section 719 of the Companies Act, 2015.

The directors monitor the effectiveness, objectivity and independence of the auditor. The directors also approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees.

BY ORDER OF THE BOARD
EQUATORIAL SECRETARIES AND REGISTRARS


..... SECRETARIES
Company Secretary

Nairobi..... / 2021



OLYMPIA CAPITAL HOLDINGS LIMITED
STATEMENT OF DIRECTORS' RESPONSIBILITIES
ON THE FINANCIAL STATEMENTS

The Kenyan Companies Act, 2015 requires the Directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Group and Company as at the end of the financial year and of their profit or loss for that year.

It also requires the Directors to ensure that the Company keeps proper accounting records that:

- a. show and explain the transactions of the Group and Company;
- b. disclose, with reasonable accuracy, the financial position of the Group and Company; and
- c. enable the Directors to ensure that every financial statement required to be prepared complies with the requirements of the Companies Act, 2015.

The Directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. They also accept responsibility for:

- i. Designing, implementing and maintaining such internal control as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or error;
- ii. Selecting suitable accounting policies and applying them consistently; and
- iii. Making accounting estimates and judgements that are reasonable in the circumstances.

Having made an assessment of the Group's and Company's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the company's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on 2021 and signed on its behalf by:


.....
Director


.....
Director

**INDEPENDENT AUDITOR REPORT
TO THE SHAREHOLDERS OF OLYMPIA CAPITAL HOLDINGS LIMITED
FOR THE YEAR ENDED 28 FEBRUARY 2021**

Opinion

We have audited the accompanying financial statements of Olympia Capital Holdings Limited (the "Company") and its subsidiaries (together, the "Group") set out on pages 12 to 54, which comprise the consolidated statement of financial position at 28 February 2021, consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity, and consolidated statement of cash flows for the year then ended, together with the Company statement of financial position at 28 February 2021, the Company statement of profit or loss and other comprehensive income, Company statement of changes in equity and Company statement of cash flows for the year then ended, and the notes to the financial statements, including a summary of significant accounting policies.

In our opinion the accompanying financial statements of Olympia Capital Holdings Limited give a true and fair view of the financial position of the Group and the Company as at 28 February 2021 and of their financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015.

Emphasis of matter

- we draw your attention to note 16 on Investments in subsidiaries, the parent company Olympia Capital Holdings Limited increased its shareholding in its subsidiary Olympia Capital Corporation Limited to 61% through a debt to equity conversion equivalent of Kshs 175million initially owed to the parent company. Our opinion is not modified in respect of this matter.
- we draw your attention to the statement of changes in equity in the Books of Avon Rubber, a subsidiary company, there is Kshs 127million pertaining to deferred tax asset in the previous periods now written off which has resulted in a decrease in the consolidated retained earnings reported in year 2020 from Kshs 287million to Kshs 159 million. Our opinion is not modified in respect of this matter.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report.

Basis for opinion (continued)

We are independent of the firm in accordance with the *International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code)* together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. We have determined that there are no key audit matters to communicate in our report.

Other information

The other information comprises the Corporate information, Directors report, Directors' remuneration report and Statement of directors' responsibilities which we obtained prior to the date of this auditor's report, and the rest of the other information in the Integrated Report which are expected to be made available to us after that date, but does not include the financial statements and our auditor's report thereon.

The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information we have received prior to the date of this auditor's report we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the rest of the other information in the Integrated Report and we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation and fair presentation of the financial statements that give a true and fair view in accordance with the International Financial Reporting Standards and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Responsibilities of the directors for the financial statements (continued)

In preparing the financial statements, the directors are responsible for assessing the firm's ability to continue as a going concern, disclosing as applicable, matters related to the going concern and using the going concern basis of accounting unless the proprietor intend to liquidate the firm or to cease operations or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material, if individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast a significant doubt on the firm's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures or in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence up to the date of the auditor's report. However, future events or conditions may cause the firm to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Auditor's responsibilities for the audit of the financial statements (Continued)

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

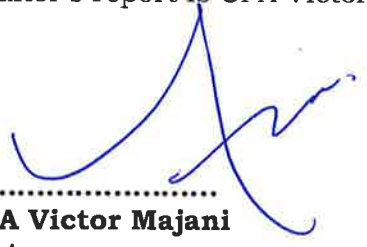
From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the Group's financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other matters prescribed by the Kenyan Companies Act, 2015

Report of the director

In our opinion the information given in the report of the directors on page 6 is consistent with the financial statements.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Victor Majani – Practicing Certificate No.1546.


.....
CPA Victor Majani
Partner

24/6/2021


.....
For and on behalf of Parker Randall Eastern Africa
Certified Public Accountants
Nairobi, Kenya.

OLYMPIA CAPITAL HOLDINGS LIMITED
CONSOLIDATED AND COMPANY STATEMENT OF PROFIT AND LOSS
FOR THE YEAR ENDED 28 FEBRUARY 2021

		2021	Group 2020	2021	Company 2020
	Notes	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Revenue	3	474,870	496,948	-	-
Cost of sales	4	(321,738)	(319,822)	-	-
Gross profit		153,132	177,126	-	-
Other operating income	5	81,546	99,387	14,483	23,539
Operating expenses	6	(221,102)	(232,026)	(26,620)	(38,623)
Operating profit		13,576	44,487	(12,137)	(15,084)
Finance costs	8	(7,126)	(18,764)	-	(2,585)
Profit before taxation		6,450	25,723	(12,137)	(17,669)
Taxation	9 (a)	(7,563)	(15,311)	-	-
(Loss)/profit for the year		(1,113)	10,412	(12,137)	(17,669)
Earnings per share attributable to:					
Owners of the parent		(5,640)	(3,821)	(12,138)	(17,669)
Non-controlling interest		4,527	14,233	-	-
		(1,113)	10,412	(12,138)	(17,669)
Earnings per share attributable to:					
Owners of the parent company		(0.14)	(0.10)	(0.30)	(0.44)
Number of issued shares		40,000	40,000	40,000	40,000

OLYMPIA CAPITAL HOLDINGS LIMITED
CONSOLIDATED AND COMPANY STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 28 FEBRUARY 2021

		Group		Company	
		2021	2020	2021	2020
	Notes	Kshs '000	Kshs '000	Kshs '000	Kshs '000
(Loss)/profit for the year		(1,113)	10,412	(12,137)	(17,669)
Other comprehensive income:-					
Exchange differences on translating foreign operations		(96,775)	(804)	-	-
Gains on property revaluation		130,298	-	-	-
Income tax relating to items that will not be reclassified		(4,590)	-	-	-
Total comprehensive income		27,820	9,608	(12,137)	(17,669)
Attributable to:					
Owners of the parent		(49,138)	(4,858)	(12,137)	(17,669)
Non-controlling interest		76,958	14,466	-	-
Total comprehensive income for the year		27,820	9,608	(12,137)	(17,669)

The notes on pages 19 to 54 are integral to the financial statements.

OLYMPIA CAPITAL HOLDINGS LIMITED
CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 28 FEBRUARY 2021

		2021	Group 2020	2021	Company 2020
ASSETS	Notes	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Non-current assets					
Property, plant and equipment	11	725,392	610,848	10	15
Investment property	12	130,706	127,102	-	-
Prepaid operating lease rentals	13	21,209	21,940	-	-
Intangible assets	14	-	-	-	-
Goodwill	15	93,594	93,594	-	-
Investment in subsidiaries	16	-	-	422,052	246,206
Non-current assets held for sale	17	4,735	4,735	-	-
Available-for-sale financial assets	18	49,700	49,700	49,700	49,700
Deferred tax asset	19 (a)	18,895	140,410	2,983	2,983
Amounts due from related parties	20 (a)	75,727	281,719	107,615	348,316
Amounts due from directors	20 (c)	49,589	36,765	31,453	23,689
		1,169,547	1,366,813	613,813	670,909
Current assets					
Amounts due from related parties	20 (a)	16,550	13,613	3,000	-
Inventories	21	122,107	110,742	-	-
Trade and other receivables	22	85,864	124,434	4,120	3,752
Cash and cash equivalents	23	74,670	90,270	18	71
		299,191	339,059	7,138	3,823
Total assets		1,468,738	1,705,872	620,951	674,732
EQUITY AND LIABILITIES					
Equity					
Attributable to parent owners:					
Share capital	24	200,000	200,000	200,000	200,000
Share premium	24	255,985	255,985	255,985	255,985
Translation reserve		(63,268)	(14,397)	-	-
Revaluation reserve		330,760	196,135	67,405	67,405
Retained earnings		83,923	287,234	3,440	15,577
		807,400	924,957	526,830	538,967
Non-controlling interest		407,819	390,112	-	-
		1,215,219	1,315,069	526,830	538,967

OLYMPIA CAPITAL HOLDINGS LIMITED
CONSOLIDATED AND COMPANY STATEMENT OF FINANCIAL POSITION
AS AT 28 FEBRUARY 2021

		2021	Group 2020	2021	Company 2020
	Notes	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Non-current liabilities					
Amounts due to related parties	20 (b)	330	56,153	60,576	56,153
Deferred tax liabilities	19 (b)	32,666	26,827	-	-
Borrowings	25	26,619	106,823	-	48,382
		<u>59,615</u>	<u>189,803</u>	<u>60,576</u>	<u>104,535</u>
Current liabilities					
Amounts due to related parties	20 (b)	3,389	-	3,389	3,719
Amounts due to directors	20 (c)	18,650	27,063	5,796	5,735
Borrowings	25	8,664	11,290	1,662	-
Trade and other payables	26	141,720	139,230	3,335	2,403
Dividend payable	27	15,724	5,224	5,224	5,224
Tax payable	9 (c)	5,757	18,193	14,139	14,149
		<u>193,904</u>	<u>201,000</u>	<u>33,545</u>	<u>31,230</u>
Total equity and liabilities		<u>1,468,738</u>	<u>1,705,872</u>	<u>620,951</u>	<u>674,732</u>

The financial statements and the notes on pages 12 to 54 were approved by the Board of Directors on /2021 and signed on its behalf by:


.....
Director


.....
Director

The notes on pages 19 to 54 are integral to the financial statements.

OLYMPIA CAPITAL HOLDINGS LIMITED
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 28 FEBRUARY 2021

Group	Share capital Kshs '000	Share premium Kshs '000	Translation deficit Kshs '000	Revaluation reserve Kshs '000	Retained earnings Kshs '000	Non-controlling interest Kshs '000	Total Kshs '000
Year ended 28 February 2021							
As at 1 March 2020	200,000	255,985	(14,397)	196,135	287,234	390,112	1,315,069
Prior year adjustments *	-	-	-	-	(127,671)	-	(127,671)
Restated	200,000	255,985	(14,397)	196,135	159,563	390,112	1,187,398
Reclassification	-	-	-	70,000	(70,000)	-	-
Total comprehensive income for the year	-	-	(48,871)	64,625	(5,640)	17,707	27,821
As at 28 February 2021	200,000	255,985	(63,268)	330,760	83,923	407,819	1,215,219
Year ended 29 February 2020							
As at 1 March 2019	200,000	255,985	(13,991)	196,135	269,182	376,277	1,283,588
Prior year adjustments - note 29	-	-	-	-	21,873	-	21,873
Restated	200,000	255,985	(13,991)	196,135	291,055	376,277	1,305,461
Total comprehensive income for the year	-	-	(406)	-	(3,821)	13,835	9,608
As at 29 February 2020	200,000	255,985	(14,397)	196,135	287,234	390,112	1,315,069

*The prior period adjustment of Kshs 127million relates to write off of a deferred tax asset in the subsidiary - Avon Rubber - through the statement of changes in equity.

The notes on pages 19 to 54 are integral to the financial statements.

OLYMPIA CAPITAL HOLDINGS LIMITED
COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 28 FEBRUARY 2021

Company	Share capital Kshs '000	Share premium Kshs '000	Revaluation reserve Kshs '000	Retained earnings Kshs '000	Total Kshs '000
Year ended 28 February 2021					
As at 1 March 2020	200,000	255,985	67,405	15,577	538,967
Total comprehensive income for the year	-	-	-	(12,137)	(12,137)
As at 28 February 2021	200,000	255,985	67,405	3,440	526,830
Year ended 29 February 2020					
As at 1 March 2019	200,000	255,985	67,405	33,246	556,636
Total comprehensive income for the year	-	-	-	(17,669)	(17,669)
As at 29 February 2020	200,000	255,985	67,405	15,577	538,967

The notes on pages 19 to 54 are integral to the financial statements.

OLYMPIA CAPITAL HOLDINGS LIMITED
CONSOLIDATED AND COMPANY STATEMENTS OF CASH FLOWS
FOR THE YEAR ENDED 28 FEBRUARY 2021

		2021	Group 2020	2021	Company 2020
	Notes	Kshs '000	Kshs '000	Kshs '000	Kshs '000
Cash flows from Operating Activities:					
Profit before tax		6,450	25,723	(12,137)	(17,669)
Prior period adjustment to retained earnings		(127,671)	21,873	-	-
Adjustment for:-					
Depreciation and amortization	11	20,307	21,054	5	23
Finance costs	8	7,126	18,764	-	2,585
Fair value gain	12	(3,604)	(11,342)	-	-
		(97,392)	76,072	(12,132)	(15,061)
Changes in working capital:-					
Inventories	21	(11,365)	10,593	-	-
Decrease/ (Increase) in trade and other receivables	22	38,570	(1,214)	(373)	(334)
(Decrease)/Increase in trade and other payables	26	2,488	7,326	927	(584)
Cash flows used in operations		(67,699)	92,777	(11,578)	(15,979)
Finance costs	8	(7,126)	(18,764)	-	(2,585)
Tax paid	9	(23,790)	(11,848)	-	-
Net cash flows (used in)/from operating activities		(98,615)	62,165	(11,578)	(18,564)
Cash flows from Investing Activities:					
Purchase of property, plant and equipment	11	(3,821)	(4,907)	-	-
Adjustment on revaluation of property	11	130,297	-	-	-
Investment property development	12	-	(72,053)	-	-
Investment in subsidiary	16	-	-	(175,846)	-
Net cash flows from investing activities		126,476	(76,960)	(175,846)	-
Cash flows from Financing Activities:					
Net movement in borrowings	25	(79,908)	42,840	(48,382)	2,585
Related parties	20	129,384	960	234,091	16,131
Net cash flows from investing activities		49,476	43,800	185,709	18,716
Cash and cash equivalents:					
Movement during the year		77,337	29,005	(1,715)	152
Effect of foreign exchange changes		(90,015)	(5,381)	-	-
As at 1 March		85,316	61,692	71	(81)
As at 28:29 February	23	72,638	85,316	(1,644)	71

The notes on pages 19 to 54 are integral to the financial statements.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS

a) General information

Olympia Capital Holdings Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The Company's shares are listed on the Nairobi Securities Exchange.

For Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of comprehensive income in these financial statements.

b) Basis for preparation

(i) Compliance with IFRS

The consolidated financial statements of Olympia Capital Holdings Limited (the "Company"), its subsidiaries and its interests in associates (together, the "Group") have been prepared in accordance with International Financial Reporting Standards (IFRS) and interpretations issued by the IFRS Interpretations Committee (IFRS IC) applicable to companies reporting under IFRS. The financial statements comply with IFRS as issued by the International Accounting Standards Board (IASB).

The financial statements are prepared on a going concern basis. They are presented in Kenyan Shillings, which is also the functional currency (see (e) below), rounded to the nearest thousand (Kshs'000).

Olympia Group has operations across various industries and jurisdictions. In order to achieve a more informative presentation of the financial statements, the expenses in the consolidated statement of profit or loss have been presented using a mix of both nature and function classification. As required by IFRS, a detailed breakdown of the expenses has been presented in the notes to the financial statements. The directors are satisfied that mixing the presentation provides more relevant information and does not have an effect of misstating any balance or giving any undue bias.

A list of the subsidiaries and the nature of their operations has been presented under note 16.

(ii) New and amended standards adopted by the Group

The Group and Company adopted the following new standards and amendments during the period/year ended 28 February 2021, including consequential amendments to other standards with the date of initial application by the Company being 1 March, 2020. The nature and effects of the changes are explained below and have had no material impact on the financial position or performance of the Company.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

b) Basis for preparation (continued)

(ii) New and amended standards adopted by the Group (continued)

Amendments to IFRS 3 - Business Combinations

The amendments, applicable to annual periods beginning on or after 1 January 2019, provide additional guidance on applying the acquisition method to particular types of business combination.

Amendments to IFRS 10 and IAS 28 - Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

The IASB has made limited scope amendments to IFRS 10 Consolidated financial statements and IAS 28 Investments in associates and joint ventures.

The amendments clarify the accounting treatment for sales or contribution of assets between an investor and its associates or joint ventures.

They confirm that the accounting treatment depends on whether the non-monetary assets sold or contributed to an associate or joint venture constitute a 'business' (as defined in IFRS 3 Business Combinations).

Where the non-monetary assets constitute a business, the investor will recognize the full gain or loss on the sale or contribution of assets. If the assets do not meet the definition of a business, the gain or loss is recognized by the investor only to the extent of the other investor's interests in the associate or joint venture. The amendments apply prospectively.

Amendments to IFRS 3 - Definition of a Business

The amendments, applicable to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period beginning on or after 1 January 2020 and to asset acquisitions that occur on or after the beginning of that period, clarify the definition of a business, with the objective of assisting entities to determine whether a transaction should be accounted for as a business combination or as an asset acquisition.

Amendments to IAS 1 and IAS 8 - Definition of Material

Changes in Accounting Estimates and Errors which use a consistent definition of materiality throughout International Financial Reporting Standards and the Conceptual Framework for Financial Reporting, clarify when information is material and incorporate some of the guidance in IAS 1 about immaterial information.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

b) Basis for preparation (continued)

(ii) New and amended standards adopted by the Group (continued)

Amendments to IAS 1 and IAS 8 - Definition of Material (continued)

In particular, the amendments clarify:

- that the reference to obscuring information addresses situations in which the effect is similar to omitting or misstating that information, and that an entity assesses materiality in the context of the financial statements as a whole, and
- the meaning of 'primary users of general purpose financial statements' to whom those financial statements are directed, by defining them as 'existing and potential investors, lenders and other creditors' that must rely on general purpose financial statements for much of the financial information they need.

The directors have made an assessment of the standards and determined them not to have a material effect on the current year results and performance. The standards will be adopted in accordance with their respective adoption dates as determined by the IASB

c) Measurement Basis

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies summarized below;

Under the historical cost basis, assets are recorded at the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire them at the time of their acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation or, in some cases, at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Group and Company use market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Group and Company using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset/liability that market participants would take into account.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

c) Measurement Basis (continued)

Fair values are categorised into three levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- i. Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- ii. Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- iii. Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs). Transfers between levels of the fair value hierarchy are recognised at the end of the reporting period during which the change occurred.

d) Consolidation

Subsidiaries

Subsidiaries are all entities (including structured and special purpose entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group.

Intercompany transactions, balances and unrealized gains on transactions between Group companies are eliminated. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Where necessary, adjustments are made to the financial statements of subsidiaries to align any difference in accounting policies with those of the Group.

Non-controlling interests in the results and equity of subsidiaries are shown separately in the consolidated statement of profit or loss, statement of comprehensive income, statement of changes in equity and statement of financial position.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

d) Consolidation (continued)

Subsidiaries (continued)

Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interest are also recorded in equity.

Disposal of subsidiaries

When the Group ceases to have control, any retained interest in the entity is re-measured to its fair value at the date when control is lost, with the change in carrying amount recognized in profit or loss.

The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognized in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities.

This may mean that amounts previously recognized in other comprehensive income are reclassified to profit or loss.

e) Foreign currency translation

Functional and presentation currency.

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency').

The financial statements are presented in Kenya Shillings (Kshs), which is the Group's presentation currency.

Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured.

Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in profit or loss, except when deferred in other comprehensive income as qualifying cash flow hedges and qualifying net investment hedges.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

e) Foreign currency translation (continued)

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in profit or loss within 'Finance income or costs'. All other foreign exchange gains and losses are presented in profit or loss within 'other income' or 'other expenses'.

Changes in the fair value of monetary securities denominated in foreign currency classified as available for sale are analyzed between translation differences resulting from changes in the amortized cost of the security and other changes in the carrying amount of the security. Translation differences related to changes in amortized cost are recognized in profit or loss, and other changes in carrying amount are recognized in other comprehensive income.

Translation differences on non-monetary financial assets, such as equities classified as available-for-sale financial assets, are included in other comprehensive income and cumulated in 'available-for sale financial assets reserve'.

f) Revenue

Revenue from the sale of goods is recognized when all the following conditions have been satisfied:

- the group has transferred to the buyer the significant risks and rewards of ownership of the goods;
- the group retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the group; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

When the outcome of a transaction involving the rendering of services can be estimated reliably, revenue associated with the transaction is recognized by reference to the stage of completion of the transaction at the end of the reporting period.

The outcome of a transaction can be estimated reliably when all the following conditions are satisfied:

- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the group;
- the stage of completion of the transaction at the end of the reporting period can be measured reliably; and
- the costs incurred for the transaction and the costs to complete the transaction can be measured reliably.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

f) Revenue (continued)

- When the outcome of the transaction involving the rendering of services cannot be estimated reliably, revenue shall be recognized only to the extent of the expenses recognized that are recoverable.

Service revenue is recognized by reference to the stage of completion of the transaction at the end of the reporting period. Stage of completion determined by Contract revenue comprises:

- the initial amount of revenue agreed in the contract; and
- variations in contract work, claims and incentive payments:
 - to the extent that it is probable that they will result in revenue; and
 - they are capable of being reliably measured.

Revenue is measured at the fair value of the consideration received or receivable and represents the amounts receivable for goods and services provided in the normal course of business, net of trade discounts and volume rebates, and value added tax. Interest is recognized, in profit or loss, using the effective interest rate method.

Royalties are recognized on the accrual basis in accordance with the substance of the relevant agreements. Dividends are recognized, in profit or loss, when the group's right to receive payment has been established.

Service fees included in the price of the product are recognized as revenue over the period during which the service is performed.

g) Cost of sales

Contract costs comprise:

- costs that relate directly to the specific contract;
- costs that are attributable to contract activity in general and can be allocated to the contract; and
- such other costs as are specifically chargeable to the customer under the terms of the contract.

When inventories are sold, the carrying amount of those inventories is recognized as an expense in the period in which the related revenue is recognized. The amount of any write-down of inventories to net realizable value and all losses of inventories are recognized as an expense in the period the write-down or loss occurs.

The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, is recognized as a reduction in the amount of inventories. The amount is recognized as an expense in the period in which the reversal occurs.

The related cost of providing services recognized as revenue in the current period is included in cost of sales.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

h) Property, plant and equipment

The cost of an item of property, plant and equipment is recognized as an asset when:

- It is probable that future economic benefits associated with the item will flow to the group; and
- The cost of the item can be measured reliably.

Property, plant and equipment is initially measured at cost. Costs include costs incurred initially to acquire or construct an item of property, plant and equipment and costs incurred subsequently to add to, replace part of, or service it.

If a replacement cost is recognized in the carrying amount of an item of property, plant and equipment, the carrying amount of the replaced part is de recognized.

Property, plant and equipment, with the exception of land and buildings is carried at cost less accumulated depreciation and any impairment losses. Land and buildings are stated at fair value less accumulated depreciation and any impairment loss. They are revalued with sufficient regularity so that their carrying amounts do not materially differ from their realizable values.

Revaluation surplus is regarded as non-distributable until the property is disposed. On disposal, the net revaluation surplus is transferred to retained earnings while profit or loss on disposal based on current values are credited or charged to profit or loss.

Item average useful life

Land	Not anticipated
Buildings	45 years
Plant and machinery	7 years
Furniture and fittings	7 years
Motor vehicles	4 years
Office equipment	7 years
IT equipment	3 years
Computer software	3 years

The residual value and the useful life of each asset are reviewed at each financial period –end. Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately

The depreciation charge for each period is recognized in profit and loss unless it is included in the carrying amount of another asset.

The gains or loss arising from the de-recognition of an item of property, plant and equipment is included in profit or loss when the item is de-recognized.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

h) Property, plant and equipment (continued)

The gain or loss arising from de-recognition of an item of property, plant and equipment is determined as the difference between net disposal proceeds, if any and the carrying amount of the item.

i) Investments in subsidiaries

Investments in subsidiaries are carried at cost less any accumulated impairment. The cost of an investment in a subsidiary is the aggregate of:

- The fair value, at the date of exchange, of assets given, liabilities incurred or assumed, and equity instruments issued by the group; plus
- Any costs directly attributable to the purchase of the subsidiary.

An adjustment to the cost of a business combination contingent on future events is included in the cost of the combination if the adjustment is probable and can be measured reliably.

j) Intangible assets and goodwill

An intangible asset is recognized when:

- i) It is probable that the expected future economic benefits that are attributable to the asset will flow to the group; and
- ii) The cost of the asset can be measured reliably.

Intangible assets are initially recognized at cost. Intangible assets are carried at cost less any accumulated amortization and any impairment losses.

The amortization period and the amortization method for the intangible assets are reviewed every year end.

Internally generated brands, mastheads, publishing titles, customer lists and items similar in substance are not recognized as intangible assets.

The amortization is provided to write down the intangible assets, on a straight-line basis, to their residual values.

Goodwill

Goodwill represents the excess of the aggregate of the fair value of compensation transferred, the acquisition date fair value of any previously held interest and any non-controlling interest over fair value of assets and liabilities acquired.

Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill on acquisitions of associates is included in investment in associates.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

j) Intangible assets and goodwill (continued)

Goodwill (continued)

Goodwill is tested annually for impairment and carried at cost less accumulated impairment losses. Impairment losses on goodwill are not reversed. Gains and losses on disposal of an entity include the carrying amount of goodwill relating to the entity sold. Any negative goodwill arising from an acquisition is credited to the statement of comprehensive income.

Goodwill is allocated to cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose identified according to operating segment.

k) Financial instruments

Classification

The group classifies financial assets and financial liabilities into the following categories:

- Loans and receivables
- Financial liabilities measured at amortized cost

Classification depends on the purpose for which the financial instruments were obtained/incurred and takes place at initial recognition. Classification is re-assessed on an annual basis, except for derivatives and financial assets designated as at fair value through profit or loss, which shall not be classified out of the fair value through profit or loss category.

Initial recognition and measurement

Financial instruments are recognized initially when the group becomes a party to the contractual provisions of the instruments. The group classifies financial instruments, or their component parts, on initial recognition as a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual arrangement.

Subsequent measurement

Financial instruments at fair value through profit or loss are subsequently measured at fair value, with gains and losses arising from changes in fair value being included in profit or loss for the period.

Net gains or losses on the financial instruments at fair value through profit or loss and dividend income is recognized in profit or loss as part of other income when the group's right to receive payment is established. Loans and receivables are subsequently measured at amortized cost, using the effective interest method, less accumulated impairment losses. Financial liabilities at amortized cost are subsequently measured at amortized cost, using the effective interest method.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

k) Financial instruments (continued)

Fair value determination

The fair values of quoted investments are based on current bid prices. If the market for a financial asset is not active (and for unlisted securities), the group establishes fair value by using valuation techniques. These include the use of recent arm's length transactions, reference to other instruments that are substantially the same, discounted cash flow analysis, and option pricing models making maximum use of market inputs and relying as little as possible on entity-specific inputs.

Amounts due to/from group companies

These include loans to and from holding companies, fellow subsidiaries, subsidiaries, joint ventures and associates and are recognized initially at fair value plus direct transaction costs.

Loans to group companies are classified as loans and receivables.

Loans from group companies are classified as financial liabilities measured at amortized cost.

Amounts due from/to shareholders, directors, managers and employees

These financial assets are initially recognized at fair value plus direct transaction costs. These financial assets are classified as loans and receivables.

These financial assets are subsequently measured at amortized cost using effective interest rate method, less any impairment loss recognized to reflect irrecoverable amounts.

Trade and other receivables

Trade receivables are measured at initial recognition at fair value, and are subsequently measured at amortized cost using the effective interest rate method. Appropriate allowances for estimated irrecoverable amounts are recognized in profit or loss when there is objective evidence that the asset is impaired.

Significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganization, and default or delinquency in payments (more than 30 days overdue) are considered indicators that the trade receivable is impaired.

The allowance recognized is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the effective interest rate computed at initial recognition.

The carrying amount of the asset is reduced through the use of an allowance account, and the amount of the loss is recognized in profit or loss within operating expenses. When a trade receivable is uncollectable, it is written off against the allowance account for trade receivables. Subsequent recoveries of amounts previously written off are credited against operating expenses in profit or loss.

Trade and other receivables are classified as loans and receivables.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

k) Financial instruments (continued)

Trade and other payables

Trade payables are initially measured at fair value, and are subsequently measured at amortized cost, using the effective interest rate method.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and demand deposits and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value. These are initially and subsequently recorded at fair value.

Bank overdraft and borrowings

Bank overdrafts and borrowings are initially measured at fair value, and are subsequently measured at amortized cost, using the effective interest rate method. Any difference between the proceeds (net of transaction costs) and the settlement or redemption of borrowings is recognized over the term of the borrowings in accordance with the group's accounting policy for borrowing costs.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

1) Leases

Leases under which the Company is the lessee

On the commencement date of each lease (excluding leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value) the Company recognizes a right-of-use asset and a lease liability.

The lease liability is measured at the present value of the lease payments that are not paid on that date. The lease payments include fixed payments, variable payments that depend on an index or a rate, amounts expected to be payable under residual value guarantees, and the exercise price of a purchase option if the Company is reasonably certain to exercise that option. The lease payments are discounted at the interest rate implicit in the lease. If that rate cannot be readily determined, the Company's incremental borrowing rate is used.

For leases that contain non-lease components, the Company allocates the consideration payable to the lease and non-lease components based on their relative stand-alone components.

The right-of-use asset is initially measured at cost comprising the initial measurement of the lease liability, any lease payments made on or before the commencement date, any initial direct costs incurred, and an estimate of the costs of restoring the underlying asset to the condition required under the terms of the lease.

Subsequently the lease liability is measured at amortised cost, subject to re-measurement to reflect any reassessment, lease modifications, or revised fixed lease payments.

Leasehold land and buildings are subsequently carried at revalued amounts, based on annual/triennial valuations by external independent valuers, less accumulated depreciation and accumulated impairment losses. All other right-of-use assets are subsequently measured at cost less accumulated depreciation and any accumulated impairment losses, adjusted for any remeasurement of the lease liability. Depreciation is calculated using the straight-line method to write down the cost of each asset to its residual value over its estimated useful life. If ownership of the underlying asset is not expected to pass to the Company at the end of the lease term, the estimated useful life would not exceed the lease term.

Increases in the carrying amount arising on revaluation are recognised in other comprehensive income and accumulated in equity under the heading of revaluation surplus. Decreases that offset previous increases of the same asset are recognised in other comprehensive income. All other decreases are charged to the profit and loss account. Annually, the difference between the depreciation charge based on the revalued carrying amount of the asset charged to the profit and loss account and depreciation based on the asset's original cost (excess depreciation) is transferred from the revaluation surplus reserve to retained earnings.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

1) Leases (continued)

For leases with a term, on commencement, of 12 months or less and leases for which the underlying asset is of low value, the total lease payments are recognised in profit or loss on a straight-line basis over the lease period.

Leases under which the Company is the lessor

Leases that transfer substantially all the risks and rewards of ownership of the underlying asset to the lessee are classified as finance leases. All other leases are classified as operating leases. Payments received under operating leases are recognised as income in the profit and loss account on a straight-line basis over the lease term. The Company has not entered into any finance leases.

m) Tax

Current tax assets and liabilities

Current tax for current and prior periods is, to the extent unpaid, recognized as a liability. If the amount already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognized as an asset.

Current tax liabilities (assets) for the current and prior periods are measured at the amount expected to be paid to (recovered from) the tax authorities, using the tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities

A deferred tax liability is recognized for all taxable temporary differences, except to the extent that the deferred tax liability arises from the initial recognition of an asset or liability in a transaction which at the time of the transaction, affects neither accounting profit nor taxable profit (tax loss).

A deferred tax asset is recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilized. A deferred tax asset is not recognized when it arises from the initial recognition of an asset or liability in a transaction at the time of the transaction, affects neither accounting profit nor taxable profit (tax loss).

A deferred tax asset is recognized for the carry forward of unused tax losses and unused WHT credits to the extent that it is probable that future taxable profit will be available against which the unused tax losses and unused WHT credits can be utilized.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

m) Tax (continued)

Tax expenses

Current and deferred taxes are recognized as income or an expense and included in profit or loss for the period, except to the extent that the tax arises from:

- A transaction or event which is recognized, in the same or a different period, to other comprehensive income, or a business combination.

Current tax and deferred taxes are charged or credited to other comprehensive income if the tax relates to items that are credited or charged, in the same or a different period, to other comprehensive income.

Current tax and deferred taxes are charged or credited directly to equity if the tax relates to items that are credited or charged, in the same or a different period, directly in equity.

n) Inventories

Inventories are measured at the lower of cost and net realizable value.

Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale. The cost of inventories comprises of all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

The cost of inventories of items that are not ordinarily interchangeable and goods or services produced and segregated for specific projects is assigned using specific identification of the individual costs.

The cost of inventories is assigned using the formula. The same cost formula is used for all inventories having a similar nature and use to the group.

When inventories are sold, the carrying amounts of those inventories are recognized as an expense in the period in which the related revenue is recognized. The amount of any write-down of inventories to net realizable value and all losses of inventories are recognized as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, are recognized as a reduction in the amount of inventories recognized as an expense in the period in which the reversal occurs.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

o) Impairment of assets

The group assesses at each end of the reporting period whether there is any indication that an asset may be impaired. If any such indication exists, the group estimates the recoverable amount of the asset.

Irrespective of whether there is any indication of impairment, the group also:

- tests intangible assets with an indefinite useful life or intangible assets not yet available for use for impairment annually by comparing its carrying amount with its recoverable amount. This impairment test is performed during the annual period and at the same time every period;
- tests goodwill acquired in a business combination for impairment annually.

If there is any indication that an asset may be impaired, the recoverable amount is estimated for the individual asset. If it is not possible to estimate the recoverable amount of the individual asset, the recoverable amount of the cash-generating unit to which the asset belongs is determined.

The recoverable amount of an asset or a cash-generating unit is the higher of its fair value less costs to sell and its value in use.

If the recoverable amount of an asset is less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount.

That reduction is an impairment loss. An impairment loss of assets carried at cost less any accumulated depreciation or amortization is recognized immediately in profit or loss. Any impairment loss of a revalued asset is treated as a revaluation decrease.

The group assesses at each reporting date whether there is any indication that an impairment loss recognized in prior periods for assets other than goodwill may no longer exist or may have decreased. If any such indication exists, the recoverable amounts of those assets are estimated.

The increased carrying amount of an asset other than goodwill attributable to a reversal of an impairment loss does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset in prior periods.

A reversal of an impairment loss of assets carried at cost less accumulated depreciation or amortization other than goodwill is recognized immediately in profit or loss. Any reversal of an impairment loss of a revalued asset is treated as a revaluation increase.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

p) Share capital and equity

An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

q) Employee benefits

The cost of short-term employee benefits, (those payable within 12 months after the service is rendered, such as paid vacation leave and sick leave, bonuses, and non-monetary benefits such as medical care), are recognized in the period in which the service is rendered and are not discounted.

The expected cost of compensated absences is recognized as an expense as the employees render services that increase their entitlement or, in the case of non-accumulating absences, when the absence occurs.

The expected cost of profit sharing and bonus payments is recognized as an expense when there is a legal or constructive obligation to make such payments as a result of past performance.

r) Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalized as part of the cost of that asset until such time as the asset is ready for its intended use. The amount of borrowing costs eligible for capitalization is determined as follows:

- Actual borrowing costs on funds specifically borrowed for the purpose of obtaining a qualifying asset less any temporary investment of those borrowings.
- Weighted average of the borrowing costs applicable to the entity on funds generally borrowed for the purpose of obtaining a qualifying asset. The borrowing costs capitalized do not exceed the total borrowing costs incurred.

The capitalization of borrowing costs commences when:

- expenditures for the asset have occurred;
- borrowing costs have been incurred, and
- activities that are necessary to prepare the asset for its intended use or sale are in progress. Capitalization is suspended during extended periods in which active development is interrupted.

Capitalization ceases when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete. All other borrowing costs are recognized as an expense in the period in which they are incurred.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

s) Significant judgments and sources of estimation uncertainty

In preparing the financial statements, management is required to make estimates and assumptions that affect the amounts represented in the financial statements and related disclosures. Use of available information and the application of judgment is inherent in the formation of estimates. Actual results in the future could differ from these estimates which may be material to the financial statements. Significant judgments include:

Trade receivables, held to maturity investments and loans and other receivables

The group assesses its trade receivables for impairment at each statement of financial position date. In determining whether an impairment loss should be recorded in the income statement, the group makes judgments as to whether there is observable data indicating a measurable decrease in the estimated future cash flows of a financial asset.

Trade receivables, held to maturity investments and loans and other receivables

The impairment for trade receivables, held to maturity investments and loans and receivables is calculated on a portfolio basis, based on historical loss ratios, adjusted for national and industry-specific economic conditions and other indicators present at the reporting date that correlate with defaults on the portfolio.

These annual loss ratios are applied to loan balances in the portfolio and scaled to the estimated loss emergence period.

Available - for - sale assets

The group follows the guidance of IFRS 9 to determine when an available-for-sale financial asset is impaired. This determination requires significant judgment.

In making this judgment, the group evaluates, among other factors, the duration and extent to which the fair value of an investment is less than its cost and the financial health of and near term business outlook for the investee, including factors such as industry and sector performance, changes in technology and operational and financial cash flow.

Taxation

Judgment is required in determining the provision for income taxes due to the complexity of legislation. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The group recognizes liabilities for anticipated tax issues based on the estimates of whether additional taxes will be due.

Where the final tax and outcome of matters is different from the amounts that were initially recorded, such differences will impact the income and deferred tax provisions in which such determination are made.

1 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES AND CRITICAL JUDGEMENTS (Continued)

s) Significant judgments and sources of estimation uncertainty (continued)

The group recognizes the net future tax benefit related to deferred income tax asset to the extent that it is probable that the deductible temporary differences will reverse in the foreseeable future. Assessing the recoverability of deferred income tax assets require the group to make significant estimates related to expectations of future taxable income.

Estimates of future taxable income are based on forecast cash flows from operations and applications of existing tax laws. To the extent that the future cash flow and taxable income differ significantly from estimates, the ability of the group to realize the net deferred tax assets recorded at the statement of financial position date could be impacted.

2 NON-CURRENT ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS

The group classifies non-current assets and disposal groups as held for sale if their carrying amounts will be recovered principally through a sale or distribution rather than through continuing use. Such non-current assets and disposal groups classified as held for sale or as held for distribution are measured at the lower of their carrying amount and fair value less costs to sell or to distribute.

Costs to distribute are the incremental costs directly attributable to the distribution, excluding the finance costs and income tax expense.

Actions required to complete the distribution should indicate that it is unlikely that significant changes to the distribution will be made or that the distribution will be withdrawn. Management must be committed to the distribution expected within one year from the date of the classification. Similar considerations apply to assets or a disposal group held for sale.

Property, plant and equipment and intangible assets are not depreciated or amortized once classified as held for sale or as held for distribution.

Assets and liabilities classified as held for sale or for distribution are presented separately as current items in the statement of financial position. A disposal group qualifies as discontinued operation if it is:

- a component of the Group that is a CGU or a group of CGUs
- classified as held for sale or distribution or already disposed in such a way; or
- a major line of business or major geographical area.

Discontinued operations are excluded from the results of continuing operations and are presented as a single amount as profit or loss after tax from discontinued operations in the statement of profit or loss. All other notes to the financial statements mainly include amounts for continuing operations, unless otherwise mentioned.